living. This allows a large portion of spending to go toward items like travel, entertainment, charity, or anything else you value.

Some people may desire a lifestyle of higher spending. You could spend well over $100,000 each year by supplementing taxable income. Saved cash, cost basis on investments (the amount contributed before growth), and money from Roth IRA accounts can all be withdrawn and spent completely tax-free. This allows you to use income from a variety of sources to further limit your tax burden. Lower spenders can utilize these sources of income in combination with tax-deferred income up to the standard deduction to completely eliminate income tax once they achieve FI.

You can use a combination of strategies to pay less tax while working toward FI. You will pay little to no income tax once you choose to cut back paid work. This crushes one of the largest expenses most people have throughout life with absolutely no sacrifice . . . unless you enjoy paying taxes.

Part-Time Work and Semi-Retirement

The concepts discussed thus far focus on a traditional work career followed by retirement with little to no income. We started there because this makes tax planning easier conceptually. However,